EAS5450 Class #25
Quiz: 8:35 – 8:45AM
Canvas Quizzes

Penn Engineering

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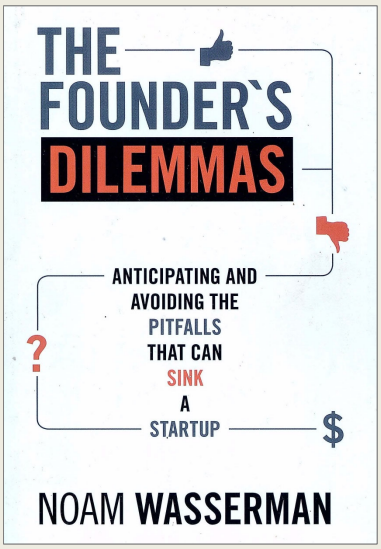

- Career Dilemmas
- Solo vs. Team Dilemmas
- Relationship Dilemmas
  - Flocking Together & Playing with Fire
- Role Dilemmas
  - Positions & Decision Making
- Reward Dilemmas
  - Equity Splits & Cash Compensation
- Hiring Dilemmas
  - The Right Hires at the Right Time
- Investor Dilemmas
  - Adding Value, Adding Risks
- Founder-CEO Succession Dilemmas
- Wealth vs. Control Dilemmas

2

Equity split considerations…

- Equal vs. Unequal
- 50/50 vs. 51/49
- Formal vs. Informal
- Static vs. Dynamic
- Vesting
- Founder's Discount
  - Agency theory
  - Stewardship theory

3

When is the best time to split equity?

Split Earlier

- Attract key people with equity.
- If you've already worked together.
- Negotiate calmly without pressure & while stakes are low.
- Get it over with and focus on the company.
- Can always adjust later with stock options.

Split Later

- Learn about cofounders' contributions & commitment.
- Strategy, business model & roles solidified.
- Incentive to perform is strengthened.
- Avoid renegotiations as company changes.
- Higher basis & deferred start for long-term capital gains clock.

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- **Quick-Equal Splits**
  - Perceived to be naïve
  - Typically adverse effect on 1st round valuations
- **Unequal or Slow-Equal Splits**
  - Demonstrates forethought
  - Typically higher 1st round valuations

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Criteria for Equity Splits

- **Past Contributions**
  - The Idea Premium
  - Capital contribution
    - Commitment
    - Ability to fund
- **Opportunity Cost**
- **Future Contributions**
  - Experiential track record
  - Level of commitment
  - Title & responsibility
- **Founder Motivations & Preferences**
  - Wealth motivations
  - Risk aversion & optimism
  - Role, title, lifestyle flexibility
  - Tolerance for conflict
    - Willingness to negotiate
  - Prior Relationships

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Co-Founders:
Courtney ("Brooks") and Carter ("Tyler") Reum

- Contributions?
- Commitment?
- Timing?
- Equity split?
- Epilog.

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Contributions & Commitment

- **Brooks**
  - 5 yrs Morgan Stanley investment banking experience in beverage deals
  - Envisions opportunity
  - Quits job to test ideas
  - Focus: "green & premium" vodka
  - Invests all $250,000 savings
  - Co-writes business plan
  - Works out deal with enviro-friendly distillery
  - Deals with regulators
  - Deals with investors: "brilliant" financing agreement
  - Deals with yellow-tint problem (dispatches Tyler)
- **Investors own 10%. Not ready to cut stake to 45%**

- **Tyler**
  - Quits private equity job to join Brooks 1 month after founding
  - Co-writes business plan
  - Persuaded Uncle Charlie to invest
  - Finds perfect enviro-friendly distillery
  - Finalizes product formula
  - Develops entire branding & marketing strategy ("a real pro")
  - Finds consultant to fix yellow-tint problem. Flies to distillery. Fixed with stabilizing agent in 24 hours
  - Good "schmoozer" networker
- **"If I'm working for less than 50%, I'll stop working so hard."**

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Epilog…

Luxco to Acquire VEEV Spirits

Press Release | Mar. 22, 2016 at 10:11 am

(St. Louis) March 21, 2016 – St. Louis-based Luxco announced today an agreement to acquire Los Angeles-based VEEV® Spirits from founders Courtney and Carter Reum. Appealing to today's discerning millennial consumer, VEEV's portfolio includes award-winning brands VEEV Spirit, a 70 proof vodka alternative, and VitaFrute™ Cocktails by VEEV®, the first line of certified organic ready-to-drink cocktails. The terms of the deal were not disclosed.

"This is an incredible day for VEEV Spirits," said Courtney Reum, VEEV co-founder. "We started this company with a vision of creating A Better Way To Drink™ and changing the way people think about the alcohol industry, and Donn Lux and his team share our values and will help these brands reach their full potential."

VEEV's innovative products and commitment to environmental initiatives impressed Luxco, who is excited to tout VEEV's all-natural product lineup to more consumers.

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THE WALL STREET JOURNAL.
WSJ.com

TECHNOLOGY | NOVEMBER 10, 2011

Zynga Leans On Some Workers to Surrender Pre-IPO Shares

By JUSTIN SCHECK and SHAYNDI RAICE

SAN FRANCISCO—Zynga Inc. Chief Executive Mark Pincus often gave shares rather than high salaries to his top talent as he built his online-game start-up.

But as Zynga grew into a multibillion-dollar company with hot games like "FarmVille" and "Mafia Wars," Mr. Pincus appears to have developed giver's remorse.

Reuters

Zynga CEO Mark Pincus, at a company event last month, asked certain employees to surrender some restricted shares or face dismissal.

More
Earlier: EA Invades Zynga's Turf
Earlier: Virtual Products, Real Profits

Early last year, as Mr. Pincus began preparing to take Zynga public, he and several other executives decided the company had doled out too many stock rights to certain people in its early days, say people familiar with the matter. The executives chose an unusual solution: They began demanding that certain employees surrender some shares or be fired.

Those shares matter as Zynga approaches an initial public offering, expected this year, that could value it at close to $20 billion and make holders of large blocks of stock wealthy.

Zynga's demand for the return of shares could expose the company to employment litigation—and, were the practice to catch on and spread, would erode a central pillar of Silicon Valley culture, in which start-ups with limited cash and a risk of failure dangle the possibility of stock riches in order to lure talent.

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Nanogene Technologies

		Investment	Post-Money Valuation	% Acquired
Nov '01	Founders	$5,000		
Jun '02	Angel	$600,000	$2,265,000	26.49%
Nov '02	Series A	$10,000,000	$16,250,000	61.52%

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Nanogene Technologies
Co-Founders

Co-Founder	Nanogene Investment	AMSL Quit Date	AMSL Salary	AMSL Title	Technical Contribution	Nanogene Salary	Nanogene Equity
Will TOMPKINS	$1,000	May '02 (Before angel)	$80,000	Scientist		$120,000	20%
Mark MASTERSON	$1,000	Jun '02 (Before angel)	$90,000	Sr. Scientist	4 Patents	$120,000	20%
Ravi RHOOTA	$1,000	Oct '02 (After angel)	$65,000	Scientist	1 Patent	$120,000	20%
Gary GARFIELD	$1,000	Not yet (Family)	$55,000	Fellow		$120,000	20%
Don RUPERT	$1,000	Never	??	Director		$120,000	20%

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Early-Stage Biotech
"Rules of Thumb"

# Founders	≤ 3
CEO Compensation ("Seasoned")	~$250K
Sr. Scientist Compensation	$95K
CEO Equity	7-10% post Series A
CEO/Founder Equity	~15% post Series A
CEO-to-VP Share Ratio	~2.5X
Board of Director Member Equity	0.25 - 1%
Advisory Board Member Equity	~0.1%
Employee Option Pool	13% post Series A

2003 Time Frame

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Nanogene Technologies
Equity Distribution

		FOUNDING 12/01		ANGEL ROUND 6/02		IP DEAL 8/02		VC "SERIES A"	
	Salary	# Shares	%	# Shares	%	# Shares	%	# Shares	%
Will TOMPKINS	$120,000	333,000	20.00%	333,000	14.70%	333,000	12.50%	333,000	3.15%
Mark MASTERSON	$120,000	333,000	20.00%	333,000	14.70%	333,000	12.50%	333,000	3.15%
Ravi RHOOTA	$120,000	333,000	20.00%	333,000	14.70%	333,000	12.50%	333,000	3.15%
Gary GARFIELD	$120,000	333,000	20.00%	333,000	14.70%	333,000	12.50%	333,000	3.15%
Don RUPERT	$120,000	333,000	20.00%	333,000	14.70%	333,000	12.50%	333,000	3.15%
Others?	$0	0	0.00%	0	0.00%	0	0.00%	0	0.00%
TOTAL	**$600,000**	**1,665,000**	**100.00%**						
ANGEL INVESTORS				600,000	26.49%	600,000	22.51%	600,000	5.68%
TOTAL				**2,265,000**	**100.00%**				
EIT						400,000	15.01%	400,000	3.79%
TOTAL						**2,665,000**	**100.00%**		
OPTION POOL								1,400,000	13.25%
VC INVESTORS								6,500,000	61.52%
TOTAL								**10,565,000**	**100.00%**

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Nanogene Technologies
Paige Miller

	Nanogene Investment	AMSL Quit Date	AMSL Salary	AMSL Title	Technical Contribution	Nanogene Salary	Founder's Equity	Post Series A Equity
Will TOMPKINS	$1,000	May '02 (Before angel)	$80,000	Scientist		$120,000	20%	3.15%
Mark MASTERSON	$1,000	Jun '02 (Before angel)	$90,000	Sr. Scientist	4 Patents	$120,000	20%	3.15%
Ravi RHOOTA	$1,000	Oct '02 (After angel)	$65,000	Scientist	1 Patent	$120,000	20%	3.15%
Gary GARFIELD	$1,000	Not yet (Family)	$55,000	Fellow		$120,000	20%	3.15%
Don RUPERT	$1,000	Never	??	Director		$120,000	20%	3.15%
Paige Miller						$175,000		3%

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